

The way people make money in commodities is to be on the right side of a price trend. Consequently, timing is everything. You could make money in commodities if you are one of the rare people in the world who has superior information about future supply-and-demand trends and then convert this knowledge into skillful trades, or if you get lucky and guess right on future prices.

No chapter on alternative investing would be complete without a discussion of hedge funds. These are private investment accounts for qualified investors. Hedge funds are mostly unregulated. Hedge funds are not an asset class. Hedge funds are pooled investment vehicles that are privately organized and administered by professional investment managers. What makes a hedge fund uniquely different is the manager's freedom to invest capital. A hedge fund may hold a large, concentrated stock position; employ a liberal use of leverage; use futures, options, swaps, and other derivatives; or sell investments short.

Investors became obsessed with the mystique of hedge funds from 2000 to 2008 as stock returns waned. This is especially true in the high-net-worth marketplace, where investors clamor for access to some hedge fund opportunities.

Hedge funds are very expensive. If the fund makes a gain, much of that gain goes to the hedge fund manager as a bonus in addition to his or her regular management fee. The funds are also illiquid, with many funds requiring months or even years before you are allowed to withdraw money. Finally, truly skilled hedge fund managers are not interested in managing your messy little pot of money, and you will not gain access to their fund unless you have many millions to put in. The hedge funds available to people of moderate wealth are not the same ones that multibillion-dollar investors have access to.

Be careful not to pay too much for access should you decide to use alternative assets. The costs of investing in commodities and hedge funds can quickly outweigh any diversification benefits. A good rule of thumb for all alternative investments is this: When in doubt, stay out.

COMMODITIES

Commodities are common products that are used every day, such as food, basic materials, and energy-related items. Food products include items such